MARKET ANALYSIS

Buyers Are Paying for Lease Duration, Not Just Location in Grocery-Anchored Retail

A $20.7M sale of a new Publix center in Jacksonville shows how capital is pricing tenant credit and lease term above all else.

July 24, 2026 · Shopping Center Business · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

The $20.7 million sale of The Plaza at Normandy in Jacksonville is not a story about location. It is a story about time.

The 58,691-square-foot Publix-anchored center, built in 2024 and fully leased at closing, traded through TSCG to an unnamed 1031 exchange buyer. The seller was Wagner Property Group, the developer. The buyer is acquiring a brand-new asset with a credit tenant on a long-term lease, zero vacancy, and a rent roll that includes Publix Liquor, Xtreme Wings, Hair Cuttery, Nail Art Studio & Spa, The UPS Store, and AT&T Wireless. Outparcels for McDonald's and Wawa were excluded.

The transaction matters because it reveals what capital is actually underwriting in grocery-anchored retail right now: not the trade area's demographics, not the growth story of Jacksonville's Westside, but the duration and quality of the income stream. A 1031 buyer is not buying upside. A 1031 buyer is buying a known quantity that defers a tax liability. That buyer needs certainty, not optionality.

Certainty in this market means a lease that runs longer than the next rate cycle. It means a tenant whose credit can survive a recession without a rent concession. It means a building so new that capital expenditure risk is negligible for a decade. The Plaza at Normandy delivers all three.

This is the kind of transaction that appears when the bid-ask spread on stabilized retail has narrowed to the point where a buyer can underwrite a defensible basis and a seller can exit without taking a discount that feels like a loss. The buyer is not paying a premium for the asset's potential. The buyer is paying a premium for the absence of uncertainty.

The seller's calculus is different. Wagner Property Group developed the center, leased it up, and sold it at a price that reflects the value of a fully stabilized, newly built asset. The developer is not selling because the market is peaking. The developer is selling because the capital that buys stabilized assets is willing to pay more for stability than the developer can justify holding through another lease-up cycle. That is not a disagreement about value. It is a difference in time horizon.

The 1031 buyer is buying time in a different sense: time to defer a capital gains tax liability, time to let inflation erode the real cost of the purchase, time to collect rent while the market decides where interest rates and cap rates settle. The buyer is not making a bet on Jacksonville's Westside. The buyer is making a bet that a Publix lease is as close to a bond as retail real estate gets.

That bet is grounded in a real mechanism. Publix is a privately held, investment-grade tenant with a dominant market share in Florida. The company's credit profile allows lenders to underwrite the lease as if it were a corporate obligation, not a real estate risk. That distinction matters because it determines the cost and availability of debt. A lender financing a Publix-anchored center can underwrite to the tenant's credit, not the asset's residual value. That lowers the debt yield threshold, compresses the cap rate, and raises the price a buyer can justify.

The transaction also signals something about the broader grocery-anchored retail market. Capital is not treating all grocery anchors equally. A new Publix with a long-term lease commands a different pricing multiple than an older center with a regional grocer on a shorter term. The market is bifurcating by lease duration and tenant credit, not by location or population growth. A center in a growing market with a weak tenant will trade at a wider spread than a center in a stable market with a strong tenant. The Plaza at Normandy is the latter.

For owners of grocery-anchored retail, the implication is clear: the value of your asset is increasingly determined by the length and quality of your anchor lease, not by the story you can tell about the trade area. A 1031 buyer will pay for certainty. A developer will sell when certainty is priced higher than optionality. A lender will finance the asset that looks like a bond.

The next test for the market is whether this pricing discipline holds when the next wave of 1031 buyers faces a tighter supply of newly built, fully leased, credit-anchored centers. If the supply of certainty shrinks, the price of certainty will rise. That is not a prediction. It is the mechanism at work in this transaction.

SOURCES

— Shopping Center Business — https://shoppingcenterbusiness.com/tscg-arranges-20-7-million-sale-of-publix-anchored-shopping-center-in-jacksonville-florida/